SHARE PRICE TOO HIGH
A company listed on the stock exchange has seen its share price increase so that its shares now cost more than its competitors'. The high price puts off investors.

SHARES SPLIT
The company decides on a share split. It halves the price of each existing $3 share, so each share is now worth $1.50.

SHARE CERTIFICATES ISSUED
It issues new share certificates to holders, doubling shares held: a shareholder with 1,000 shares at $3 each now has 2,000 at $1.50 each. Total worth is still $3,000.

SHARE VALUE ALIGNED
The value of shares is now similar to that of competitors. The price encourages new investors to make a purchase.